

these things are important for an investor to make an informed decision. And you must disclose this. After that the investor will vote with his feet, vote with his wallet, either he will buy you and your price will go up or he will sell you and your price will go down. And the second thing in terms of governance is the stipulation in terms of what kind of transactions require what kind of approvals. In our view, largely speaking, for most decisions that a company board takes, there is a very high level of alignment between the promoter and the dominant shareholders and the minority shareholders. So, there's no problem there at all because their interests are aligned. And what is good for the goose is good for the gander.

The only place where there can be potentially a divergence, in terms of the interests, is where there are related-party transactions because the promoter may benefit from a particular kind of transaction because it is with a related party, and it may not be in the interest of the minority shareholders for that transaction to go through. So long as related-party transactions are disclosed honestly and in the spirit of the law, in our view, that is the level of governance that we think is required. After that it is really up to the market and to the investors to decide how they want to vote.

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Q: You have completed nearly two years at the helm and a little over a year is left in your stint. What are the two or three key unfinished tasks that you would want to focus on going forward?

A: I will break that up into internal to Sebi and external in the marketplace. So internal to Sebi, our restructuring was done in four months, which normally with an external consultant takes a couple of years. What I would really like to do is try and institutionalise many of the things that we have done. And after I demit office, my sense is the new person who will come will leave his or her own stamp. If even 60-65 per cent of what has been created over the last few years stays and gets institutionalised and cemented further, I will be delighted. So, my efforts going forward... will really be to institutionalise the changes that we have brought about.

In the external marketplace, I think the most important piece that I would like to see happening is greater financial inclusion. And a simple example of that is a conversation that I had with some of our mutual funds, for instance, because that's a great product for financial inclusion. I asked them if the ₹500 per month SIP is viable for them. And they said, yes. And I said, what will it take to make it ₹100? And almost all of them said it is

just not possible. I said, I'll settle for ₹250. So, now we are working with them to see where is that cost, what can Sebi do to facilitate making it possible and to bring that viability down to ₹250 a month. Because then it is the equivalent of what Hindustan Lever [now Hindustan Unilever or HUL] did with the shampoo sachet. [It] just exploded the market. Just grow the market and the kind of financial inclusion it will bring, and, equally importantly, the strength it will give to our markets.

In the last one year or so, globally money became expensive as the US Fed was tightening liquidity and so foreign money left our shores. Unlike other emerging markets, our markets were still resilient. Why was that? That was because retail money came in to fill that vacuum, both direct investments by retail investors as well as through our mutual funds. Now what happened because the markets remained resilient is that our share in the global indices went up. The people who left

“The focus that we have brought within Sebi is to say that every action or inaction or delay or speediness of what the regulator does has a very serious impact on somebody”

India started underperforming their benchmark index, because we were roaring thanks to domestic demand, and they had left so they were missing out on the Indian returns. And very soon they came back... So, in effect, the benefit of our domestic flows and the retail flows had a double impact. The impact of their coming in and the impact of the foreign money returning because they couldn't afford to miss the Indian story; I think that's the strength of India. And if I can in the next year (2024) or so somehow make that viable and make that ₹500 SIP into ₹250, I think that would lay the foundation for the next many years for future growth and further resilience of the market. **BT**

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